

PERSONAL CONNECTION: BUDGETS AND GOALS

Keeping a detailed budget is the first step toward taking control of your finances. Before I became financially literate, I kept a loose budget, but I eventually realized how ineffective this strategy is. My goal used to be something like “save \$500 a month,” and I would just hope that it magically happened. I almost never accomplished my goal, and I seemed to constantly be broke.

A couple things happened when I started budgeting. First, I became more motivated to accomplish my goal, because I was monitoring my progress and could see how far I was from meeting my target. Second, I realized how much of my money was being wasted without my even knowing it. Once I created a detailed budget, I realized I was still paying for apps, services, or subscriptions I never used. I was just throwing money away because I hadn’t taken the time to examine my expenses. Third, I could clearly see where my mistakes were being made. Instead of just knowing I was spending too much money every month, I now knew exactly *where* I was spending too much money.

My budget was being ruined by my food expenses. I ate too many meals out, and I was inefficient in my grocery shopping. Now I hardly ever eat out, and I make it a point to meal prep every week. By cooking most of my meals on Sundays, it saves me a ton of money and removes the hurdle of having to cook dinner each night. One of the reasons I used to eat out so often was that I did not want to cook dinner after working all day. Now, “cooking” dinner only requires me to microwave one of the meals I made on Sunday. By making this simple adjustment, I was able to not only meet my financial goal every month, but also increase it.